E-Commerce Business Models and Concepts

Business-to-Consumer (B2C)
Consumer-to-Consumer (C2C)

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Business Plan and Business Model

Definition

- Business model - set of planned activities designed to result in a profit in a marketplace.
- Business plan - a document detailing firm's business model and financial viability.
  - Major pieces:
    - Description of customers to be served and relationship with them
    - Description of all products and services that will be offered
    - Description of process required to produce and deliver them
    - List of resources required, identification of their availability
    - Description of supply chain: suppliers, other partners
    - Description of revenue model, anticipated costs, finance sources, estimated profitability (financial viability)

Competition in the Internet Economy

- Has low barriers to entry
- Very **intense** competition
- Online transactions make the following possible:
  - Customers can readily find cheaper and better products
  - Customers can compare prices easily, use of shopping search engine
  - Product differentiation (e.g. reviews, recommendations, ratings)
  - Personalization: tailor toward specific customer preferences
  - Low/competitive prices
  - Call centre customer support
  - Reduced barriers to entry – no need for physical store or sales force

Impact of EC on Businesses

- New technologies offer companies unprecedented opportunities to rethink business strategies, models, processes, and relationships.
- Special focus:
  - Improve marketing of existing products
  - Improve creation (manufacturing) of existing products
  - Improve customer service
  - Improve operations (e.g., efficiencies, satellite offices)

Eight Key Elements of a Business Model

Components	Key question
Value proposition	Why should the customers buy from you?
Revenue model	How will you earn money?
Market opportunity	What marketspace do you intend to serve and what is its size?
Competitive environment	Who else occupies your intended marketspace?
Competitive advantage	What special advantages does your firm bring to the marketspace?
Market strategy	How do you plan to promote your products/services to attract your target audience?
Organizational development	What types of organizational structures within the firm are necessary to carry out the business plan?
Management team	What kinds of experiences and background are important for the leaders to have?

1- Value proposition

- How a company's product and service fulfills customer needs
- Answer to "why choose you?"
- May differ for different market segments
- E.g. Amazon:
  - Unparallel selection
  - Convenience (24/7 shopping, cheap/free delivery)
  - Competitive prices

2- Revenue model

- How firm will earn revenue, produce profits, produce superior return on invested capital.
- Also called financial model
- Success of a firm: **produce returns > alternative investments**

Types of Revenue Models

- Advertising - provides forum for ads, receive fees from advertisers
  - E.g., Yahoo!.com
- Subscription - charges subscription fees for some/all of company's content/service offerings
  - E.g., eHarmony.com
- Transaction fees - forum that enables/executes transaction
  - E.g., eBay.com
- Sales - sells goods, information, or services
  - E.g., Amazon.com, Gap.com
- Affiliate - steers business to an affiliate, receives referral fee or % revenue from resulting sales
  - E.g., MyPoints.com

3- Market Opportunity

- Identify firm's intended marketspace
- Identify potential financial opportunities in that marketspace
- Usually divided into smaller market niches
- Realistic market opportunity is defined by revenue potential in each market niches where you hope to compete.

4- Competitive Environment

- Must identify:
  - Other competitors operating in same marketspace
  - Presence of substitute products
  - Potential new entrants to market
  - Power of consumers/suppliers over your business
    - Field survey example
    - Sole supplier example

5. Competitive Advantage

- Achieved when firm produces superior product or cheaper-than-most product
- Asymmetry - when one participant has more resources
- First-mover advantage - competitive market advantage results from being a first-mover in that market
- Complementary resources - resources/assets not directly involved in production but crucial to success
  - E.g., reputation, management
- **Unfair competitive advantage** - occurs when firm develops advantage based on factor that other firms cannot purchase
  - E.g., brands: built on loyalty, trust, reliability, which enables premium charges on products

6. Market Strategy

- "How do you plan to promote your products or services to attract your target audience?"
  - Details how a company intends to enter market and attract customers
  - Best business concepts will fail if not properly marketed to potential customers

7. Organizational Development

- Organizational development
  - Plan describing how company will organize required work to be done
  - Typically divided into functional departments
  - Need efficient implementation of business plans and strategies
  - Important for growing company

8. Management Team

- A strong management team:
  - Can make the business model work
  - Can give credibility to outside investors
  - Has market-specific knowledge
  - Has experience in implementing business plans

EC Business Models

Categorizing EC Business Models

- B2C – business-to-consumer
- B2B – business-to-business (extends to “organizations” such as government)
- C2C – customer-to-customer

To: Consumer of content/service	From: Supplier of content/service: *Consumer or citizen*	*Business (organization)*	*Government*
Consumer or citizen	**Consumer-to-Consumer (C2C)** • eBay • Peer-to-Peer (Skype) • Blogs and communities • Product recommendations • Social networks: MySpace, Bebo	**Business-to-Consumer (B2C)** • Transactional: Amazon • Relationship-building: BP • Brand-building: Unilever • Media owner – News Corp • Comparison intermediary: Kelkoo, Pricerunner	**Government-to-Consumer (G2C)** • National government transactional: Tax – inland revenue • National government information • Local government services
Business (organization)	**Consumer-to-Business (C2B)** • Priceline • Consumer-feedback, communities or campaigns	**Business-to-Business (B2B)** • Transactional: Euroffice • Relationship-building: BP • Media Owned: Emap business publications • B2B marketplaces: EC21	**Government-to-Business (G2B)** • Government services and transactions: tax • Legal regulations
Government	**Consumer-to-Government (C2G)** • Feedback to government through pressure group or individual sites	**Business-to-Government (B2G)** • Feedback to government businesses and non-governmental organizations	**Government-to-Government (G2G)** • Inter-government services • Exchange of information

B2C Business Models

- E-tailer
- Community provider (social network)
- Content provider
- Portal
- Transaction broker
- Market creator
- Service provider

E-tailer

- Online retail store
- Some are port of existing physical stores
- Revenue model is based on product sales
- Large potential market: retail market and Internet users
- Extremely competitive sector because low barriers to entry
- Barriers to entry = total cost of entering new marketplace
- Challenge is to differentiate one's business from existing stores/websites

Types of E-tailers

- Virtual merchant = e-tailer with no physical store
- Brick-and-clicks = e-tailer with physical store
- Catalog merchant = online version of direct mail catalog
- Manufacturer-direct = manufacturer uses online channel to sell directly to customers

Community Provider

- Sites that create digital online environment where people with similar interests can:
  - Transact
  - Share interests, photos, videos, anecdotes
  - Communicate with like-minded people
  - Receive interest-related information
- No limitation of geography and time
- Value proposition: create fast, convenient, one-step site where users can focus on their most important things
- Typically hybrid revenue models
- Provide ideal marketing and ad territories

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https://www.linkedin.com

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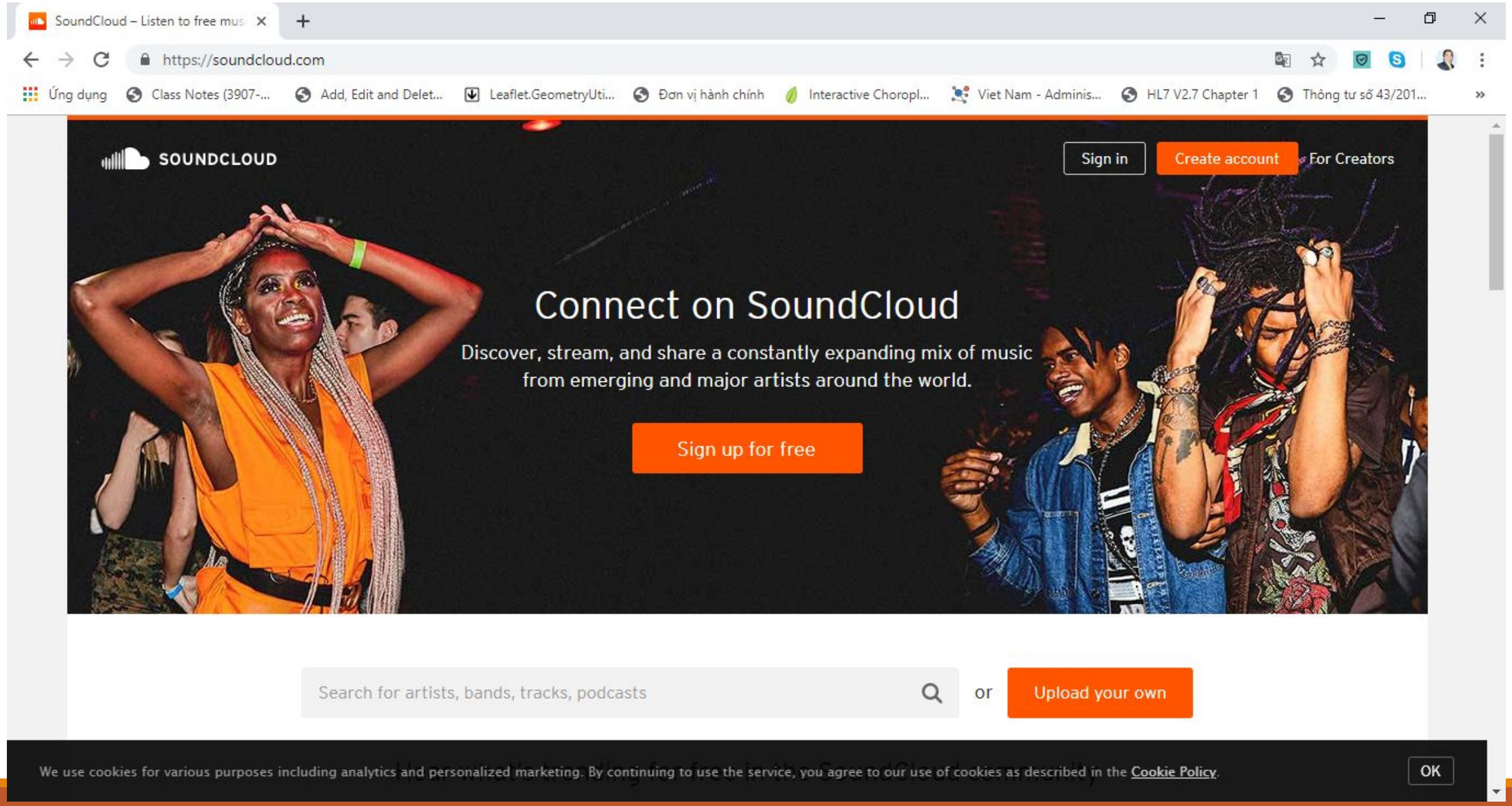
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Content Provider

- Distributes digital information content over the Web
  - E.g., news, media, music, art, etc.
- **Revenue model: subscription fee or transaction fee**
- Key is to own content (e.g., own copyright)
- Syndication = distribute content produced by others
- Web aggregator = syndication plus some added value to content
  - E.g., summary statistics or additional analysis


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Portal

- Offer powerful Web search tools, integrated package of content and services all in one place
- Used to be viewed as “gateway” to the Internet
- Do not sell anything directly to users
- Service via ads, referral fees, premium services
- Horizontal portal = portal that includes everyone in marketspace
- Vertical portal = similar to horizontal portals in services, but focused on particular subject matter or market segment
  - Also called vortal
  - Visitors to specialized niche vortals spend more money than average Yahoo visitor
  - If attract enough market segment, advertisers are willing to pay premium to reach target audience
- Search = portals focused on search engine services

My Yahoo

https://my.yahoo.com

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Welcome to My Yahoo

Get your headlines, email, quotes and more — all in one place.

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Existing user?
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Can Tho, Can Tho (Current Location)

77 °F | °C
Isolated Thundershowers

Today	Sat	Sun
84° 77°	85° 77°	85° 78°

Scoreboard

Trending

Yesterday | Today | Tomorrow

Milwaukee — 2:20 pm ET
Chi Cubs — CSCh, FSWI

Toronto — 7:05 pm ET



Robert Kennedy's granddaughter found dead

The body of Saoirse Kennedy Hill, the granddaughter of the late Robert F. Kennedy, was found at the Kennedy compound in Massachusetts, according to local police.
'Our hearts are shattered by the loss' »

1-3 of 45


22-year-old granddaughter of RFK


'Not sure why my comment is now a


Figure skater Ashley Wagner: 'I was



My Mail

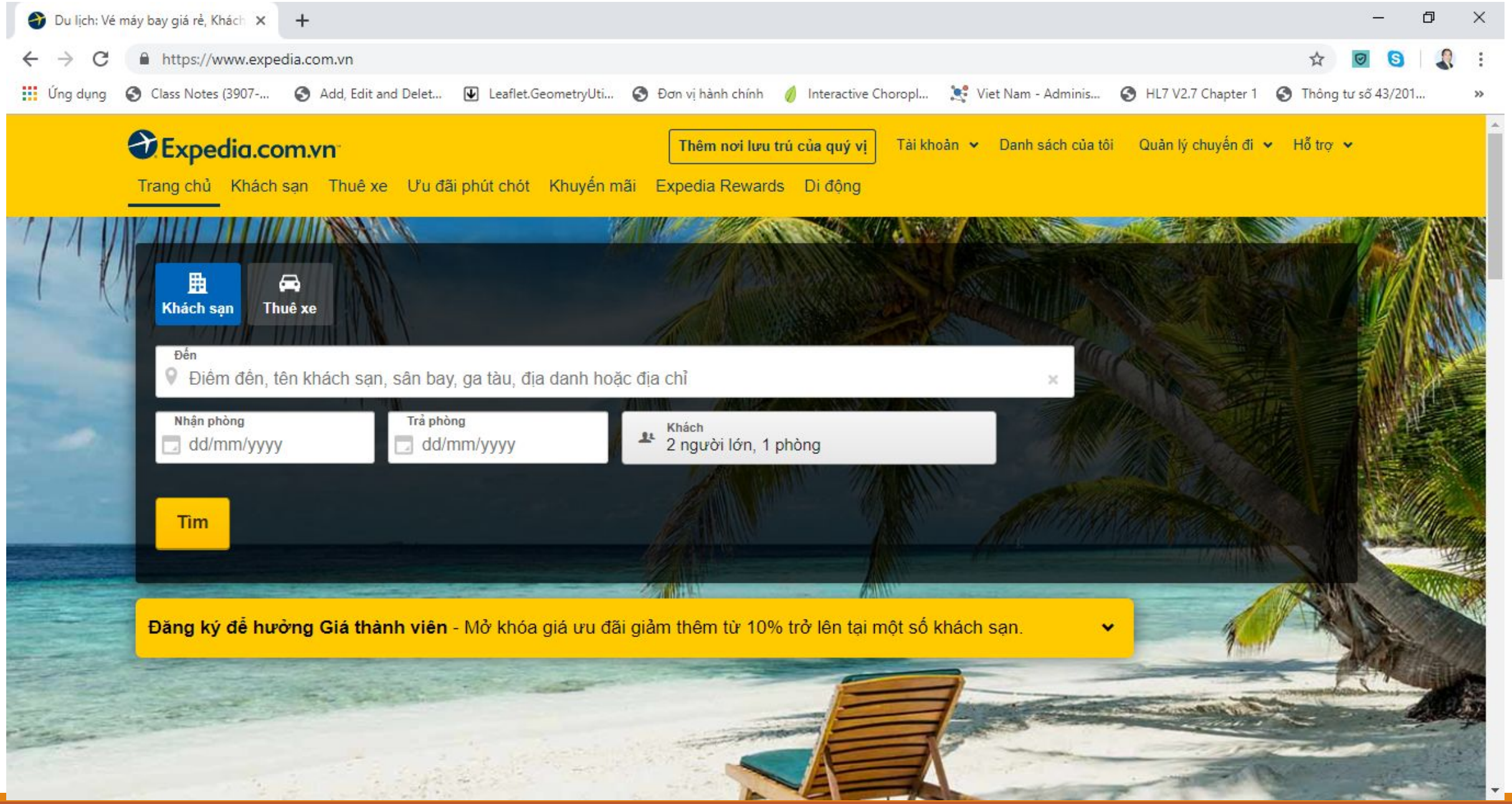
Check multiple mail accounts from one place

Already have an account? Login
Don't have one? Sign Up

News For You

Transaction Broker

- Process online transactions for consumers
  - Primary value proposition—saving time and money
- Revenue model:
  - Transaction fees
- Industries using this model:
  - Financial services
  - Travel services
  - Job placement services


Du lịch: Vé máy bay giá rẻ, Khách
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Đăng ký để hưởng Giá thành viên - Mở khóa giá ưu đãi giảm thêm từ 10% trở lên tại một số khách sạn.

Market Creator

- Builds digital environment where buyers and sellers can:
  - Meet
  - Display products
  - Search for products
  - Establish price for products
- Has no inventory or production costs

Electronics, Cars, Fashion, Collect

https://www.ebay.com

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Search for anything

All Categories

Search

Advanced

Home | Saved | Electronics | Fashion | Health & Beauty | Motors | Collectibles | Sports | Home & Garden | Deals | Under $10

Why eBay?



Deals



Free Delivery



Money Back Guarantee



Gift Ideas



Catch the trend



New Brands



Low cost, guilt free

Daily Deals | See all →

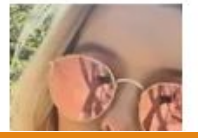






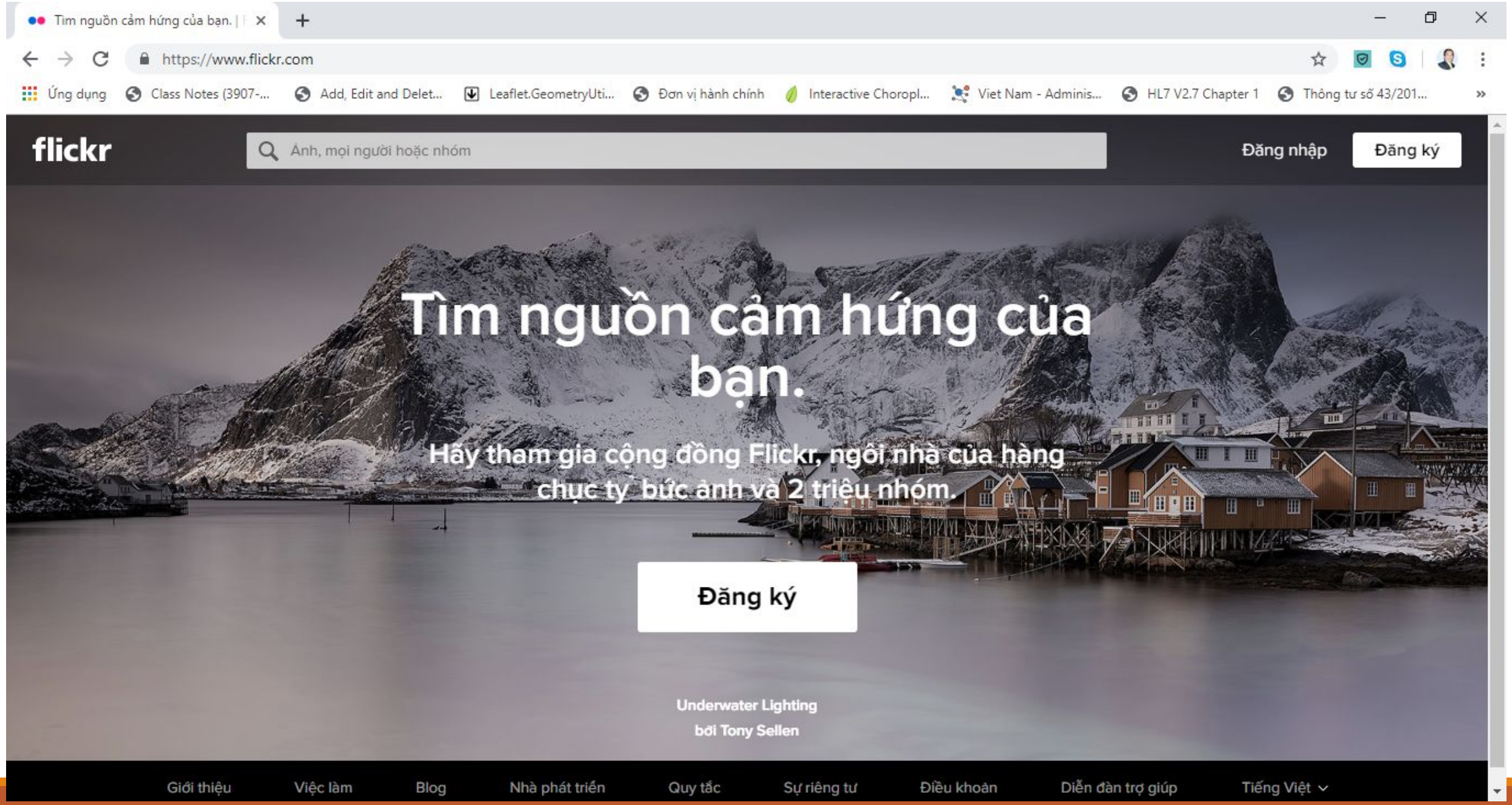






Service Provider

- Offers online services
  - E.g. photo sharing, maps, email, calendar, financial planning, advice (medical), appointment scheduling
- Various revenue models: fees, subscriptions, ads, collecting personal information and then selling it.
- Some mix services and products
- Value proposition: convenience, time savings, low-cost, valuable alternatives to traditional services
- Convenience – important factor for time-starved people
  - A key predictor to online buying behavior
- Critical to build confidence and trust


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bởi Tony Sellen
Giới thiệu
Việc làm
Blog
Nhà phát triển
Quy tắc
Sự riêng tư
Điều khoản
Diễn đàn trợ giúp
Tiếng Việt

Consumer-to-Consumer

- A way for consumers to sell to each other, via online business.
- Whether it's for goods or services, this category of e-commerce connects people to do business with one another.

Facebook Marketplace

https://www.facebook.com/marketplace/111403155545903/

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Tìm kiếm | Tâm Hoan | Trang chủ | Tạo

Marketplace

Tìm kiếm trên Marketplace

Lướt xem

Nhóm

Cửa hàng

Đang mua

Đang bán

Mục đã lưu

+ Bán gì đó

Vị trí

Cần Thơ

Hạng mục

Toàn bộ Marketplace

Phương tiện

Đồ điện tử

Nhà & vườn

Sở thích

Lựa chọn hàng đầu



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Cần Thơ, · hơn 1 tuần trước



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